# Guidance for calculating local and regional procurement budgets for FY 2025 McGovern-Dole International Food for Education and Child Nutrition Program awards

## BACKGROUND ON APPLICABLE LOCAL AND REGIONAL PROCUREMENT COSTS

FAS' legal interpretation is that applicable costs are only those associated with the purchase of local and or regional commodities. This language describing costs which can contribute to the McGovern-Dole Program's local and regional procurement legislative requirements comes from the program's authorizing legislation: 7 USC 1736o-1 (a)(2) and (l)(4). and of appropriations in Title V of the Agriculture, Rural Development, Food and Drug Administration, and Related Agencies Appropriations Act, 2024 (Division A of the Consolidated Appropriations Act, 2024, Public Law 118-42), which was applicable for FY 2025.

Given the precision of the amount allocated for Local and Regional Procurement, Recipients must ensure that they meet the LRP component amount in the Notice of Award letter exactly.

**Reporting Requirements:**

During implementation, recipients are required to track and report on how much LRP funds have been spent with each semi-annual financial report. LRP component funds are tracked separately by USDA, so recipients should follow FAS McGovern-Dole instructions to submit SF-270 requests that separate our LRP and non-LRP expenses. In accordance with the agreement (or any negotiated amendments), recipient organizations **must not exceed** the amount of funding allocated for the LRP component.

## NOTICE OF FUNDING OPPORTUNITY (NOFO) REFERENCES

Excerpt from: Budget Narrative Instructions, page 35 [emphasis added]:

*Applications must provide a summary of the LRP budget. Applicants may allocate an amount not exceeding ten percent of the total federal award value towards the local or regional commodity procurement component. Voluntary committed cost share cannot be used to meet the ten percent. The LRP budget is composed of costs found in multiple line items of the budget summary, including both the direct and indirect costs of purchasing locally or regionally produced commodities and may also include transportation, storage, and handling costs associated with getting such commodities to the beneficiaries, as well as staff time directly related to the procurement. The budget must not include costs for LRP capacity building activities.*

## EXPLANATORY TABLE

| *NOFO Term* | *Translates to Budget Summary Line Items:* | *What are examples of Applicable Costs?* | *Should these direct costs be included?* | *Should these associated indirect costs be included?* |
|---|---|---|---|---|
| **purchasing locally- or regionally-produced commodities** | Commodity Procurement | Purchasing 10MT of orange-fleshed sweet potato or 2 MT of eggs from the country of implementation | Yes | Yes |
| **transportation, storage, and handling costs associated with getting such commodities to the beneficiaries** | ITSH transportation, professional services, warehouse, supplies, or other | Contracts to transport procured commodities to central warehouse, proportion of security contracts to guard warehouses where local or regional commodities are stored, items necessary to maintain proper local or regional commodity management and storage. | Yes | Yes |
| **staff time directly related to the procurement** | ITSH salary/personnel or benefits, or Admin salary/personnel or benefits, or travel | Proportion of warehouse staff salaries and benefits, proportion of admin staff time involved in procurement or their travel costs associated with local or regional commodity management | Yes | Yes |
| **It will not include capacity building costs.** | Activity line items | Any activities | No | No |

## BUDGET SUMMARY GRAPHIC

- All costs in green line items **must** be included in the LRP budget calculation,
- Some costs in yellow line items **may** be included as appropriate, and
- No costs in red line items should be included in the local and regional procurement budget.

### Attachment C-1 Standard Budget Summary

### Project Operating Budget

| Expense Type | Monetization Proceeds | FAS or CCC Funds (CCC is Admin Only) | Cost Share | Total w/out Cost Share | Total w/Cost Share |
|---|---|---|---|---|---|
| **Administration** | | | | | |
| Salaries | $0.00 | $0.00 | $0.00 | $0.00 | $0.00 |
| Benefits | $0.00 | $0.00 | $0.00 | $0.00 | $0.00 |

| | | | | | |
|---|---|---|---|---|---|
| Travel | $0.00 | $0.00 | $0.00 | $0.00 | $0.00 |
| Professional Services | $0.00 | $0.00 | $0.00 | $0.00 | $0.00 |
| Equipment | $0.00 | $0.00 | $0.00 | $0.00 | $0.00 |
| Office | $0.00 | $0.00 | $0.00 | $0.00 | $0.00 |
| Supplies | $0.00 | $0.00 | $0.00 | $0.00 | $0.00 |
| Other | $0.00 | $0.00 | $0.00 | $0.00 | $0.00 |
| **Total Administration** | $0.00 | $0.00 | $0.00 | $0.00 | $0.00 |

| **Activities** | | | | | |
|---|---|---|---|---|---|
| Activity 1: *Insert Description* | $0.00 | $0.00 | $0.00 | $0.00 | $0.00 |
| Activity 2: *Insert Description* | $0.00 | $0.00 | $0.00 | $0.00 | $0.00 |
| Activity 3: *Insert Description* | $0.00 | $0.00 | $0.00 | $0.00 | $0.00 |
| Activity 4: *Insert Description* | $0.00 | $0.00 | $0.00 | $0.00 | $0.00 |
| Insert additional Activities as needed | $0.00 | $0.00 | $0.00 | $0.00 | $0.00 |
| **Total Activities** | $0.00 | $0.00 | $0.00 | $0.00 | $0.00 |

| **Commodity and Food Purchases (N/A to FFPr)** | | | | | |
|---|---|---|---|---|---|
| Commodity Procurement | $0.00 | $0.00 | $0.00 | $0.00 | $0.00 |
| Food Vouchers (N/A to MGD) | $0.00 | $0.00 | $0.00 | $0.00 | $0.00 |
| Cash Transfers (N/A to MGD) | $0.00 | $0.00 | $0.00 | $0.00 | $0.00 |
| **Total Commodity Procurement** | $0.00 | $0.00 | $0.00 | $0.00 | $0.00 |

| **ITSH** | | | | | |
|---|---|---|---|---|---|
| Salaries | $0.00 | $0.00 | $0.00 | $0.00 | $0.00 |
| Benefits | $0.00 | $0.00 | $0.00 | $0.00 | $0.00 |
| Travel | $0.00 | $0.00 | $0.00 | $0.00 | $0.00 |
| Transportation | $0.00 | $0.00 | $0.00 | $0.00 | $0.00 |
| Professional Services | $0.00 | $0.00 | $0.00 | $0.00 | $0.00 |
| Warehouse | $0.00 | $0.00 | $0.00 | $0.00 | $0.00 |
| Supplies | $0.00 | $0.00 | $0.00 | $0.00 | $0.00 |
| Other | $0.00 | $0.00 | $0.00 | $0.00 | $0.00 |
| **Total ITSH** | $0.00 | $0.00 | $0.00 | $0.00 | $0.00 |
| | | | | | |
| **Total Direct Costs** | $0.00 | $0.00 | $0.00 | $0.00 | $0.00 |

| **Indirect Costs** | | | | | |
|---|---|---|---|---|---|
| **ICR on Administration** | $0.00 | $0.00 | | $0.00 | |
| **ICR on Activities** | $0.00 | $0.00 | | $0.00 | |
| **ICR on Commodity and Food Purchases** | $0.00 | $0.00 | | $0.00 | |
| **ICR on ITSH** | $0.00 | $0.00 | | $0.00 | |
| **Total Indirect Costs** | $0.00 | $0.00 | | $0.00 | |

| | | | | | |
|---|---|---|---|---|---|
| **Anticipated Program Income** | | | | | |

| | | | | | |
|---|---|---|---|---|---|
| **Grand Total Costs** | $0.00 | $0.00 | $0.00 | $0.00 | $0.00 |

Total Amount of Federal Award (Total Federal Funds Obligated

## DESCRIPTION OF LRP BUDGET

After determining all applicable costs, a recipient organization should summarize the costs in the budget narrative Section 1: General Explanatory Comments as seen below. The local and

regional procurement percentage is calculated using the total federal obligation, not grand total costs/operating budget. Do not include any cost share when calculating the percentage.

The costs should still remain described within the appropriate line items throughout Section 2 Administration, Section 4 Commodity and Food Purchases, and Section 5 ITSH.

Excerpt from Budget Narrative Example (found in NOFO Appendix D and on the FAIS homepage.)

5. A summary of the local and regional procurement budget. For example: FD's local procurement budget is $2,800,000 or **10%** of the total federal obligation of $28,000,000.

| **Summary of Local and Regional Procurement Budget** | |
|---|---|
| Salaries/Personnel (from Administration) | $163,000 |
| Benefits (from Administration) | $63,000 |
| Salaries/Personnel (from ITSH) | $86,000 |
| Benefits (from ITSH) | $34,000 |
| Internal Transportation | $717,139 |
| Warehouse | $196,036 |
| Commodity Procurement | $1,035,250 |
| ICR on Administration | $94,791 |
| ICR on ITSH | $100,109 |
| ICR on Commodity and Food Purchases | $310,675 |
| **Total** | **$2,800,000** |

## NOTE ON GENERAL ALLOWABILITY OF COSTS

Please note, the inclusion of costs within the local and regional procurement budget does not affect the general allowability or allocability of an item of cost. An allowable and allocable item of cost may still be included in the award budget even if it may not be counted in the local and regional procurement budget.